Illinois - Claims Handling Regulations Summary

Cardinal Ridge Insurance Group | Document CRIG-REG-IL | Effective 2026-01-01 | Version 3.1

FICTIONAL DOCUMENT - created for a software demonstration. Cardinal Ridge Insurance Group does not exist. Legal and regulatory content is simplified and is NOT legal advice.

1. Legal source (simplified)

Illinois Insurance Code section 154.6 and 50 Ill. Adm. Code 919. This summary uses simplified, fictionalised figures for demonstration. Always confirm with Compliance.

2. Claim-handling clocks

Milestone	Illinois standard	Clock type
Acknowledge the claim	10 days	business
Accept or deny the claim	30 days after proof of loss / notice	business
Pay an accepted claim	30 days	business

A missed clock is a BREACH: the claim becomes NON-COMPLIANT, late-payment interest may accrue and the file must be escalated to Compliance.

3. State-specific notes

Acknowledge within 10 business days; decide within 30 business days of proof of loss; pay within 30 business days of acceptance. Written denial must identify the policy provision relied upon.

4. Required actions when a clock is at risk

• Send a written status / extension letter explaining what is still needed.

• Escalate to the Claims Manager when fewer than 3 days remain.

• Record the reason for any delay in the claim notes; accrue interest in the reserve where applicable.

• A pending SIU investigation does NOT pause the state clock.